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Taiwan Electronic Components

Optical solution for AI connectivity; raise TP for Largan, upgrade Genius to Buy

CITI'S TAKE

Largan/ Genius' share prices outperformed TAIEX by 64%/ 66% in the recent month. We believe this mainly was due to market expectations of their potential in CPO. Yet we see Genius' catalyst in optical connector has not been factored in fully. We see different opportunities for Largan and Genius. Largan would benefit most from fiber array and PMLA for CPO, but Genius would see more upside in optical connector for fiber. As Genius' solution is more ready and can leverage its current capacity and plastic lens technology, the revenue and shipment contribution would come earlier in 1H27. We raise our TP for Largan to NT$8,500 and upgrade Genius to Buy with new TP at NT$1,050.

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Largan's Fiber Array+PMLA in good progress — Largan has demonstrated its proprietary multi-layer stacking technology of Fiber Array, which can compensate assembly tolerances. Along with its Fiber Array solution, Largan also provides PMLA, which combines multiple optical surfaces—including anti-reflective coatings, reflective turning surfaces, and pin-hole optics—within an extremely compact footprint, enabling precise laser routing into the IC IO. Thanks to Largan's expertise in optical alignment, automation and equipment, we expect a smooth qualification process and its engagement with US customer seems to be faster than expected as Largan just announced another land expansion plan for capacity built-up. We are looking for 3m/12.5m units shipment for Largan in 2027/2028, yet the revenue contribution could be about c10%/20% respectively.

Genius' opportunity in optical connector and ferrule — Separately, Genius is working on different opportunities in optical connector and ferrule for exiting fiber transmission. The company is working with a leading US company on their proprietary design and expect the shipment to start in 1H27. Its solution will combine the ferrule with lens reflection collimation technology to expand the light path and overcome the effect of surface particles on insertion loss and return loss performance. Note that Genius' experience in coating and big scale manufacturing will enable the company to secure great potential in this new opportunity, and it can leverage existing capacity and lens technology. We expect this could contribute 15% and over 20% of Genius' revenue in 2027/2028.

Smartphone lens a cash cow for Largan and Genius — We see stable lens revenue at both Largan and Genius this year thanks to resilient Apple order flow. Looking forward, we believe the specs upgrade such as variable aperture and potentially machinal shutter to support better ASP for smartphone lens. For the most advanced lens design, we believe Largan would maintain its dominant position yet Genius would be able to gradually take share in focal lens.

Transforming to optical solution provider, Buy Largan on Fiber Array opportunity and Genius on optical connector — We see different positions and stories at Largan and Genius, respectively. Our TP of NT$8,500 for Largan is based on 30x our 2027/2028E EPS and TP of NT$1,050 for Genius is based on 25x 2027/2028E EPS.

Data Summary

						Rating		Short-Term	Target Price						Current Fiscal Year EPS		Next Fiscal Year EPS	
Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time	Old	New	View	Old	New	ESPR (%)	Div Yld (%)	ETR (%)	Last Rpt Yr	Old	New	Old	New
Genius Electronic Optical	3406.TW	NT$	834.00	94,028	27 Aug 13:30	3	1	Upside	405.00	1,050.00	25.9	1.9	27.8	Dec-25	32.23	34.87	34.35	39.09
Largan Precision	3008.TW	NT$	6,915.00	904,470	27 Aug 13:30	1	nc	Upside	6,125.00	8,500.00	22.9	1.2	24.1	Dec-25	187.05	168.16	215.00	226.37

1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk

ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change

Source: Citi Research

^Catalyst Watch

New opportunity in Lens-Based Optical Connectivity

The rapid growth of AI infrastructure is changing the role of optics inside data centers. In the past, optical fiber was mainly used to connect switches over relatively long distances, while electrical copper connections handled shorter links. AI changes this balance because thousands of GPUs must communicate with one another at extremely high speed. As network speeds move from 400G and 800G toward 1.6T, 3.2T and beyond, the industry is moving from traditional pluggable optical modules toward linear optics, near-packaged optics and eventually co-packaged optics (CPO), where the optical engine moves much closer to the processor or switch chip.

We see Largan and Genius are targeting different potential markets in AI optics. Largan has been working on Fiber Array and PMLA while Genius is more at optical connector and also micro lens. We see great potential on both companies and expect the contribution will start in 1H27 for Genius at earliest and 2H27 for Largan.

Largan- Fiber Array + PALM in good progress

During its latest earnings call in July, Largan has elaborated technology and opportunity in CPO (see our report of Largan Precision (3008.TW) - Phone camera upgrade + Fiber Array upside), in particular in the fiber array potential. Thanks to its better optics precision and alignment technology, Largan seems to be confident about its Fiber array opportunity, and the pilot run production line will be ready in 3Q26 with mass volume production in 2H27 at the earliest, earlier than our previous estimate in 2028.

Looking forward, Largan's multi-layer Fiber Array architecture represents a shift from traditional linear fiber arrangements toward a planar optical interface capable of substantially increasing IO density. This architecture directly addresses one of the key bottlenecks in future CPO and silicon photonics systems, where optical throughput growth increasingly depends on higher IO density and more precise fiber-to-chip alignment rather than solely faster SerDes speeds.

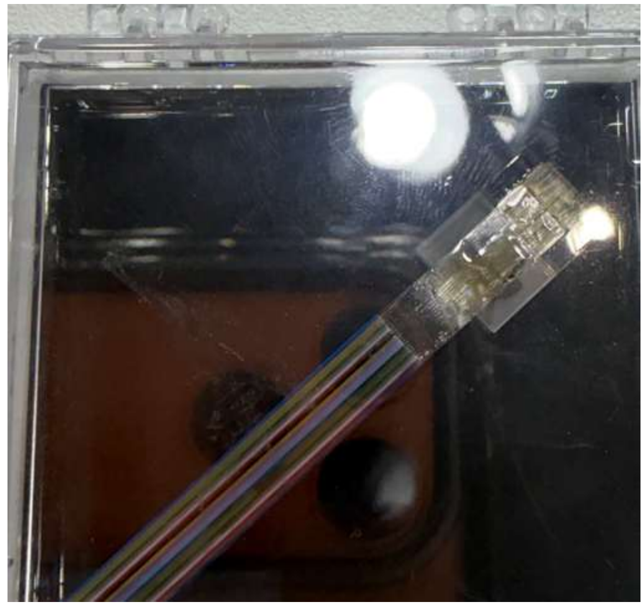
Largan already possesses extensive expertise in precision optics, including lens molding, optical coatings, automated production, and in-house equipment development. As a result, manufacturing capacity expansion may be less challenging than technology qualification. The likely path involves customer validation and engineering qualification first, followed by pilot production and eventual volume ramp. We believe customer adoption proceeds smoothly, commercialization could begin with limited production before scaling into larger deployments. Strategically, the opportunity extends beyond supplying Fiber Arrays alone. By integrating PMLA, micro-lens technologies, and advanced optical interfaces, Largan could position itself higher in the optical interconnect value chain.

We estimate Largan's optical revenue for AI data center would contribute c10%/c20% in 2027/2028 assuming overall 30m and 50m FAU demand and Largan's share of 10% and 25%.

Figure 1. Largan – CPO solutions demo

Source: Citi Research, Largan

Figure 2. Largan – CPO solutions demo



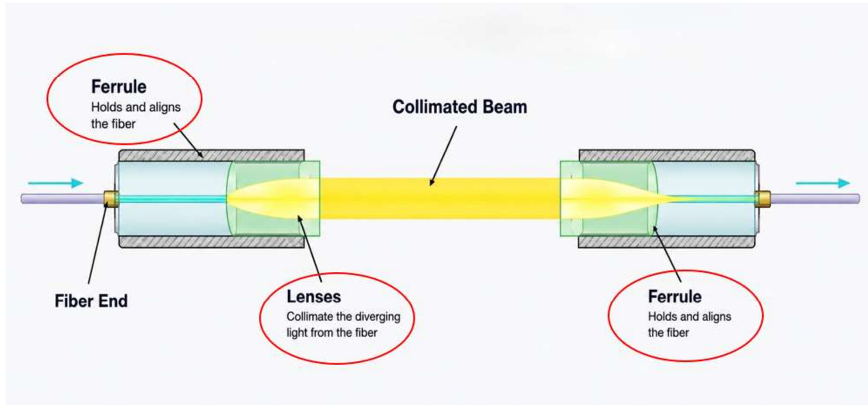
Source: Citi Research, Largan

Genius – Lens-base connector for Fiber

With AI data center, connecting an enormous number of fibers reliably has been a rising challenge. Traditional multi-fiber connectors depend on physical contact, meaning that very small fiber cores must meet precisely. Dust, scratches or poor cleaning can therefore cause signal loss and installation failures. **Genius is targeting leading optical solution company with tiny lens in front of each fiber to expand the light beam before it crosses the connector and the receiving fiber.** This "expanded-beam" approach makes the connection less sensitive to small particles and physical wear. The lens therefore becomes more than a simple optical component: **it may become an important interface between increasingly complex AI systems and the huge fiber networks connecting them.**

Thanks to its large scale in automated lens manufacturing, assembly, inspection and testing experience, we expect Genius' lens connector for fiber would start shipment in 1H27. **Its solution will combine the ferrule with lens reflection collimation technology to expand the light path and overcome the effect of surface particles on insertion loss and return loss performance. Note that Genius' experience in coating and big-scale manufacturing will enable the company to secure great potential in this new opportunity.**

Figure 3. Genius - optical connector and ferrule solution



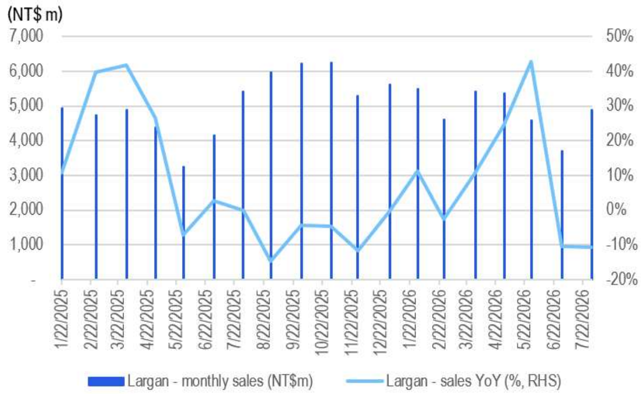
Source: Citi Research, Company Reports

Smartphone lens- benefit from new iPhone lens upgrade

With Apple's lens upgrade for variable apertures and potentially machinal shutter next year, we see stable ASP trend with upside potential for lens module makers, including Largan and Genius. Today, smartphone camera lenses primarily consist of multiple high-precision plastic aspherical lenses assembled into a compact lens barrel, while autofocus and optical image stabilization are handled by separate actuators. Adding a mechanical shutter would introduce another moving component into this tightly constrained optical path, increasing requirements for lens alignment, mechanical tolerance, space management, and coordination between the lens, shutter, actuator, and CMOS image sensor. The more important implication would emerge if mechanical shutters develop alongside variable-aperture systems, where the physical aperture can change according to lighting and photographic conditions. This could materially increase the design and manufacturing barriers for high-end plastic lenses, particularly as tolerances for lens decenter, tilt, aperture positioning, and sensor alignment become increasingly interconnected. Therefore, the longer-term opportunity for leading lens suppliers is not simply additional lens elements or higher P-count, but greater integration of optics and precision mechanics. We see the trend would benefit Largan most, as we believe Largan will focus more on the most advanced lens design for variable aperture+ machinal shutter, and there is great chance that Genius may also gain more share in ultra-wide angle and wide angle lens.

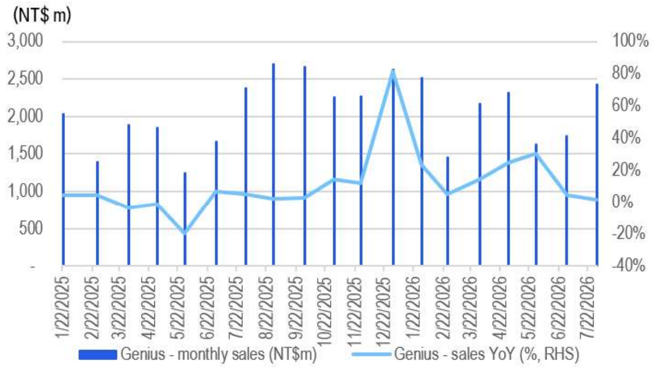
We estimate that Largan has the majority share of current iPhone's focal lens and more than 50% share in the wide angle and 30% of the ultra-wide angle lens. Genius may gradually take some share in focal lens and keep 20-30% share in wide angel and ultra-wide in our view.

Figure 4. Largan – monthly sales trend



Source: Citi Research

Figure 5. Genius – monthly sales trend



Source: Citi Research

Largan - Maintain Buy and lift TP to NT$8,500

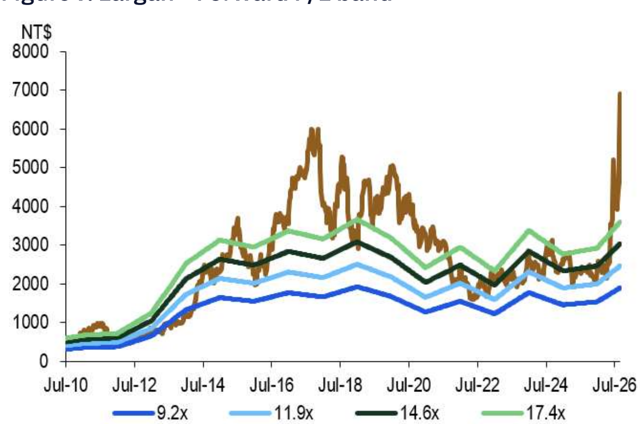
We raise our 2027/28 earnings forecast for Largan by 5%/25% as we factor in the better than expected development in its Fiber Array+PMLA business and its aggressive capacity expansion target as it just announced another land expansion plan in view of the solid outlook. We raise our TP to NT$8,500 (from NT$6,125) based on 30x our 2027/2028E EPS. We lift our PER target to 30x from 25x on better order visibility, which is proven by its recent capacity expansion plan. 30x PER is higher than its 5-year historical range as we expect the promising growth opportunity from its new CPO business should drive a further re-rating for the stock.

Figure 6. Largan – Estimates Revisions

	2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	62,461	66,496	-6%	95,009	86,090	10%	156,848	115,733	36%
Gross profit	30,753	34,387	-11%	46,156	43,051	7%	73,629	56,797	30%
Opex	(7,407)	(7,884)	-6%	(12,763)	(11,565)	10%	(21,077)	(15,562)	35%
Operating profit	23,346	26,504	-12%	33,393	31,486	6%	52,552	41,235	27%
Pre-tax profit	27,813	30,971	-10%	37,473	35,566	5%	56,632	45,315	25%
Net income	22,444	24,966	-10%	30,213	28,696	5%	45,639	36,477	25%
EPS (NT$)	168.2	187.1	-10%	226.4	215.0	5%	341.9	273.3	25%
Gross margin	49.2	51.7	-2.5ppts	48.6	50.0	-1.4ppts	46.9	49.1	-2.1ppts
Opex ratio	(11.9)	(11.9)	0.0ppts	(13.4)	(13.4)	0.0ppts	(13.4)	(13.4)	0.0ppts
Operating margin	37.4	39.9	-2.5ppts	35.1	36.6	-1.4ppts	33.5	35.6	-2.1ppts
Net margin	35.9	37.5	-1.6ppts	31.8	33.3	-1.5ppts	29.1	31.5	-2.4ppts

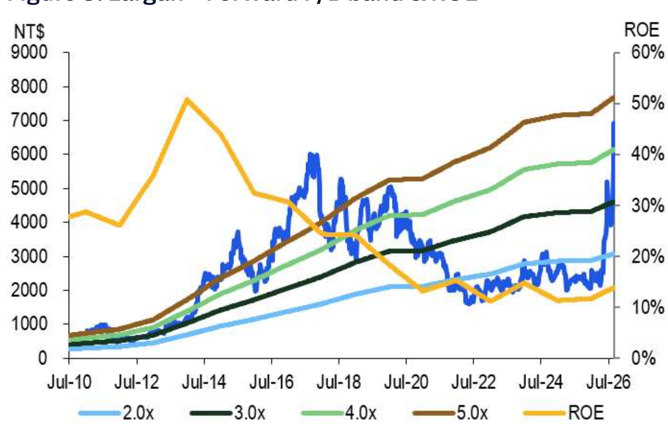
Source: Citi Research

Figure 7. Largan – Forward P/E band



Source: Citi Research, company data

Figure 8. Largan – Forward P/B band & ROE



Source: Citi Research, company data

Figure 9. Largan – Forecast Summary

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net sales	14,579	11,673	17,677	17,219	15,544	13,665	16,011	17,240	16,593	14,975	27,077	36,364	61,148	62,461	95,009	156,848
Gross profit	**7,965**	**6,260**	**8,352**	**8,260**	**7,680**	**6,752**	**7,782**	**8,540**	**8,188**	**7,299**	**13,376**	**17,294**	**30,837**	**30,753**	**46,156**	**73,629**
OPEX	1,878	1,381	2,088	1,932	1,867	1,604	1,953	1,983	2,273	2,007	3,574	4,909	7,279	7,407	12,763	21,077
Operating profit	**6,086**	**4,879**	**6,265**	**6,329**	**5,812**	**5,148**	**5,829**	**6,557**	**5,914**	**5,292**	**9,802**	**####**	**23,558**	**23,346**	**33,393**	**52,552**
Total Non-OP	1,630	(3,085)	1,890	1,907	1,476	951	1,020	1,020	1,020	1,020	1,020	1,020	2,342	4,467	4,080	4,080
Pre-tax profit	7,716	1,794	8,155	8,236	7,288	6,099	6,849	7,577	6,934	6,312	10,822	13,405	25,900	27,813	37,473	56,632
Income tax	1,173	738	996	1,434	1,112	1,342	1,097	1,677	1,280	1,278	1,734	2,967	4,340	5,228	7,260	10,993
Net profit	**6,443**	**1,032**	**7,080**	**6,720**	**6,123**	**4,670**	**5,751**	**5,900**	**5,654**	**5,034**	**9,088**	**10,437**	**21,275**	**22,444**	**30,213**	**45,639**
EPS	**48.3**	**7.7**	**53.0**	**50.3**	**45.9**	**35.0**	**43.1**	**44.2**	**42.4**	**37.7**	**68.1**	**78.2**	**159.4**	**168.2**	**226.4**	**341.9**
Margins (%)																
Gross profit	**54.6**	**53.6**	**47.2**	**48.0**	**49.4**	**49.4**	**48.6**	**49.5**	**49.3**	**48.7**	**49.4**	**47.6**	**50.4**	**49.2**	**48.6**	**46.9**
OPEX to Sales Ratio	12.9	11.8	11.8	11.2	12.0	11.7	12.2	11.5	13.7	13.4	13.2	13.5	11.9	11.9	13.4	13.4
Operating profit	**41.7**	**41.8**	**35.4**	**36.8**	**37.4**	**37.7**	**36.4**	**38.0**	**35.6**	**35.3**	**36.2**	**34.1**	**38.5**	**37.4**	**35.1**	**33.5**
Total Non-OP	11.2	(26.4)	10.7	11.1	9.5	7.0	6.4	5.9	6.1	6.8	3.8	2.8	3.8	7.2	4.3	2.6
Pre-tax profit	52.9	15.4	46.1	47.8	46.9	44.6	42.8	43.9	41.8	42.2	40.0	36.9	42.4	44.5	39.4	36.1
Net profit	**44.2**	**8.8**	**40.1**	**39.0**	**39.4**	**34.2**	**35.9**	**34.2**	**34.1**	**33.6**	**33.6**	**28.7**	**34.8**	**35.9**	**31.8**	**29.1**
Y/Y (%)																
Net sales	28.9	6.3	(6.7)	(5.4)	6.6	17.1	(9.4)	0.1	6.7	9.6	69.1	110.9	2.8	2.1	52.1	65.1
Gross profit	43.2	17.8	(12.2)	(23.6)	(3.6)	7.9	(6.8)	3.4	6.6	8.1	71.9	102.5	(1.2)	(0.3)	50.1	59.5
Operating profit	53.7	25.4	(19.7)	(24.5)	(4.5)	5.5	(7.0)	3.6	1.8	2.8	68.2	88.9	(2.0)	(0.9)	43.0	57.4
Pre-tax profit	3.9	(69.1)	3.9	(25.7)	(5.6)	240.0	(16.0)	(8.0)	(4.9)	3.5	58.0	76.9	(19.5)	7.4	34.7	51.1
Net profit	5.4	(77.1)	6.8	(22.5)	(5.0)	352.5	(18.8)	(12.2)	(7.7)	7.8	58.0	76.9	(17.9)	5.5	34.6	51.1
Q/Q(%)																
Net sales	(19.9)	(19.9)	51.4	(2.6)	(9.7)	(12.1)	17.2	7.7	(3.8)	(9.7)	80.8	34.3				
Gross profit	(26.4)	(21.4)	33.4	(1.1)	(7.0)	(12.1)	15.3	9.7	(4.1)	(10.9)	83.3	29.3				
Operating profit	(27.4)	(19.8)	28.4	1.0	(8.2)	(11.4)	13.2	12.5	(9.8)	(10.5)	85.2	26.4				
Pre-tax profit	(30.4)	(76.8)	354.6	1.0	(11.5)	(16.3)	12.3	10.6	(8.5)	(9.0)	71.4	23.9				
Net profit	(25.7)	(84.0)	586.0	(5.1)	(8.9)	(23.7)	23.2	2.6	(4.2)	(11.0)	80.5	14.8				

Source: Citi Research, company data

Genius – Upgrade to Buy and lift TP to NT$1,050

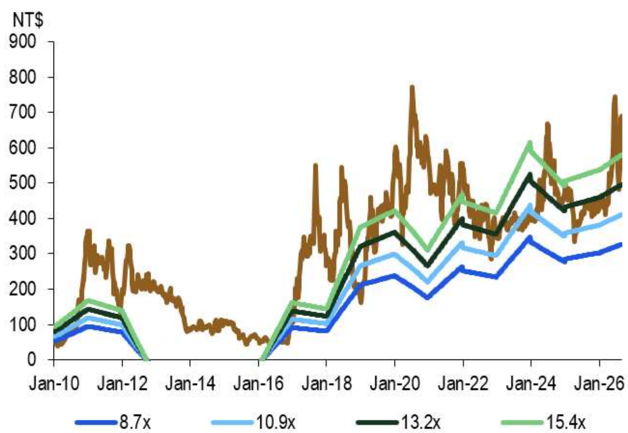
We raise our 2026/27 earnings forecast for Genius by 8%/14% as we factor in its smooth progress in optical connector and ferrule business and resilient lens revenue from Apple and share gains potential in focal lens space. We also introduce our 2028 numbers in this note. Given new business opportunity in optical connectors and solid sales outlook from existing lens business, we upgrade Genius from Sell to Buy. We roll over our TP valuation base year from previous 2026 EPS to now 2027/28 average as we view the new business in optical connector as a new catalyst starting from next year. Also, we lift our target PER to now 25x from previous 13x as we believe the high growth optical opportunity in AI arena will lead to better growth and re-rating. Genius used to trade based on the smartphone product cycle and the growth has been stagnant. With the new optical connector, it should be resuming strong growth. 25x is in line with its historical peak-cycle PER. Our TP is thus raised to NT$1,050 based on 25x our 2027/2028E EPS.

Figure 10. Genius – Estimates Revisions

(NT$mn)	2026E New	2026E Old	2026E Chg.	2027E New	2027E Old	2027E Chg.	2028E New	2028E Old	2028E Chg.
Sales	24,673	23,144	7%	25,972	24,028	8%	28,687	na	na
Gross profit	8,433	7,744	9%	9,124	8,077	13%	10,164	na	na
Opex	(3,499)	(3,225)	8%	(3,547)	(3,221)	10%	(3,841)	na	na
Operating profit	4,933	4,519	9%	5,577	4,856	15%	6,323	na	na
Pre-tax profit	5,196	4,855	7%	5,953	5,232	14%	6,699	na	na
Net income	3,931	3,633	8%	4,407	3,873	14%	4,960	na	na
EPS (NT$)	34.9	32.2	8%	39.1	34.4	14%	44.0	na	na
Gross margin	34.2%	33.5%	+0.7 ppts	35.1%	33.6%	+1.5 ppts	35.4%	na	na
Opex ratio	-14.2%	-13.9%	-0.2 ppts	-13.7%	-13.4%	-0.3 ppts	-13.4%	na	na
Operating margin	20.0%	19.5%	+0.5 ppts	21.5%	20.2%	+1.3 ppts	22.0%	na	na
Net margin	15.9%	15.7%	+0.2 ppts	17.0%	16.1%	+0.8 ppts	17.3%	na	na

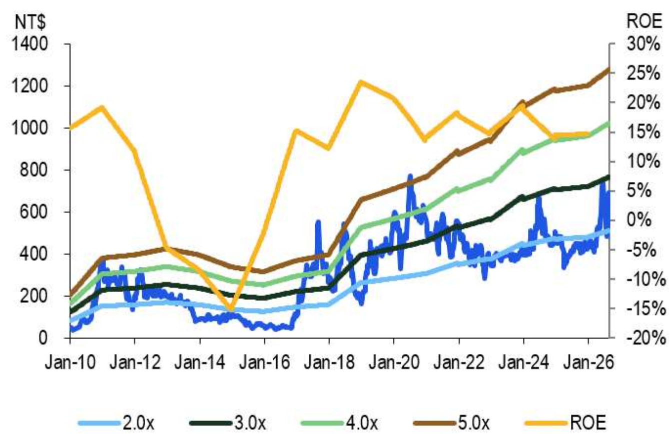
Source: Citi Research

Figure 11. Genius – Forward P/E band



Source: Citi Research, company data

Figure 12. Genius – Forward P/B band & ROE



Source: Citi Research, company data

Figure 13. Genius – Forecast Summary

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net sales	5,321	4,776	7,740	7,152	6,141	5,682	6,176	6,674	5,019	5,730	7,277	7,946	24,989	24,673	25,972	28,687
Gross profit	**1,646**	**1,388**	**2,641**	**2,449**	**2,061**	**1,884**	**2,168**	**2,319**	**1,674**	**2,013**	**2,607**	**2,831**	**8,125**	**8,433**	**9,124**	**10,164**
OPEX	749	792	827	983	860	925	778	936	686	912	862	1,087	3,352	3,499	3,547	3,841
Operating profit	**897**	**596**	**1,814**	**1,466**	**1,201**	**960**	**1,390**	**1,383**	**988**	**1,100**	**1,745**	**1,744**	**4,773**	**4,933**	**5,577**	**6,323**
Total Non-OP	267	(304)	119	135	39	(142)	233	133	145	45	143	43	217	263	376	376
Pre-tax profit	1,164	292	1,933	1,602	1,239	818	1,623	1,516	1,133	1,145	1,888	1,787	4,990	5,196	5,953	6,699
Income tax	294	51	516	422	348	124	422	364	281	309	510	447	1,282	1,258	1,546	1,739
Net profit	**872**	**240**	**1,414**	**1,176**	**891**	**686**	**1,201**	**1,152**	**852**	**836**	**1,378**	**1,340**	**3,702**	**3,931**	**4,407**	**4,960**
EPS	**7.7**	**2.1**	**12.5**	**10.4**	**7.9**	**6.1**	**10.7**	**10.2**	**7.6**	**7.4**	**12.2**	**11.9**	**32.8**	**34.9**	**39.1**	**44.0**
Margins (%)																
Gross profit	**30.9**	**29.1**	**34.1**	**34.3**	**33.6**	**33.2**	**35.1**	**34.7**	**33.3**	**35.1**	**35.8**	**35.6**	**32.5**	**34.2**	**35.1**	**35.4**
OPEX to Sales Rati	14.1	16.6	10.7	13.7	14.0	16.3	12.6	14.0	13.7	15.9	11.9	13.7	13.4	14.2	13.7	13.4
Operating profit	**16.8**	**12.5**	**23.4**	**20.5**	**19.6**	**16.9**	**22.5**	**20.7**	**19.7**	**19.2**	**24.0**	**22.0**	**19.1**	**20.0**	**21.5**	**22.0**
Total Non-OP	5.0	(6.4)	1.5	1.9	0.6	(2.5)	3.8	2.0	2.9	0.8	2.0	0.5	0.9	1.1	1.4	1.3
Pre-tax profit	21.9	6.1	25.0	22.4	20.2	14.4	26.3	22.7	22.6	20.0	25.9	22.5	20.0	21.1	22.9	23.4
Net profit	**16.4**	**5.0**	**18.3**	**16.4**	**14.5**	**12.1**	**19.4**	**17.3**	**17.0**	**14.6**	**18.9**	**16.9**	**14.8**	**15.9**	**17.0**	**17.3**
Y/Y (%)																
Net sales	1.6	(4.2)	3.3	30.7	15.4	19.0	(20.2)	(6.7)	(18.3)	0.8	17.8	19.1	7.8	(1.3)	5.3	10.5
Gross profit	(12.0)	(24.8)	(5.9)	66.2	25.2	35.7	(17.9)	(5.3)	(18.8)	6.8	20.2	22.1	1.6	3.8	8.2	11.4
Operating profit	(20.1)	(43.5)	(8.5)	186.6	33.9	61.0	(23.3)	(5.7)	(17.7)	14.6	25.5	26.1	2.2	3.4	13.1	13.4
Pre-tax profit	(23.0)	(78.7)	1.6	40.8	6.5	179.8	(16.0)	(5.4)	(8.6)	40.1	16.3	17.9	(15.8)	4.1	14.6	12.5
Net profit	(19.8)	(76.0)	2.6	37.0	2.2	185.9	(15.0)	(2.0)	(4.4)	21.8	14.7	16.4	(14.4)	6.2	12.1	12.6
Q/Q(%)																
Net sales	(2.7)	(10.2)	62.1	(7.6)	(14.1)	(7.5)	8.7	8.1	(24.8)	14.2	27.0	9.2				
Gross profit	11.7	(15.7)	90.2	(7.3)	(15.9)	(8.6)	15.1	6.9	(27.8)	20.2	29.5	8.6				
Operating profit	75.2	(33.5)	204.2	(19.1)	(18.1)	(20.1)	44.9	(0.5)	(28.5)	11.3	58.6	(0.0)				
Pre-tax profit	2.3	(74.9)	561.5	(17.1)	(22.6)	(34.0)	98.5	(6.6)	(25.2)	1.1	64.8	(5.3)				
Net profit	1.6	(72.5)	489.0	(16.8)	(24.2)	(23.0)	75.0	(4.1)	(26.0)	(1.9)	64.8	(2.7)				

Source: Citi Research, company data

Adding Upside 90-Day Short-Term View on Genius Electronic Optical (3406.TW)

Direction:	**Upside**
Duration:	Within 90 Days
Category:	Thematic driven

We expect Genius' positive development in new optical connector business to support the share price performance in the coming months.

Short-Term View on Largan Precision (3008.TW)

Direction:	**Upside**
Duration:	Within 90 Days (expires 08 Oct 2026)
Date Added:	09 Jul 2026
Category:	Thematic driven

We see Largan's share price to be supported by its resilient sales performance in the coming months and any positive development in its CPO business should also provide further upside support.

Bull/Bear: Genius Electronic Optical (3406.TW)

NT$1,200.00 ▲44% Upside	NT$1,050.00 ▲26% Upside	NT$600.00 ▼28% Downside

Spread 72pp
Current Price and expected returns (upside/downside) as of 27 Aug 2026

BULL Assumptions

- Less fierce competition and more favorable product mix
- Stronger than expected growth potential in new business

BASE Assumptions

- GM of >34% in 2026-28E

BEAR Assumptions

- More fierce competition and less favorable product mix
- Weaker than expected progress in new business

Bull/Bear: Largan Precision (3008.TW)

NT$ 9,000.00	NT$ 8,500.00	NT$ 5,600.00
▲30% Upside	▲23% Upside	▼19% Downside

Spread 49pp
Current Price and expected returns (upside/downside) as of 27 Aug 2026

BULL Assumptions

- Higher than expected UTR or better than expected product mix
- Winning significant shares in lens market
- Based on 32x PER

BASE Assumptions

- Overall GM >45% in 2026-28E
- Stable share in lens market with steady lens upgrade trend

BEAR Assumptions

- Lower than expected UTR or worse than expected product mix
- Losing significant shares in lens market
- Based on 20x PER

Genius Electronic Optical

Company description

Genius is a leading lens provider. It was established in 1989 and listed on TWSE in 2005. Its revenue increased from NT$4.5bn in 2010 to NT$23.2bn in 2024. The revenue breakdown for Genius in 2023 was 73% smartphone lens and 27% others.

Investment strategy

We have a Buy rating on Genius. We expect Genius to see resilient sales momentum driven by stable lens sales in iPhone business. Moreover, we see its new development in optical connector and ferrule to provide strong upside potential in the longer term.

Valuation

Our target price for Genius of NT$1,050 is based on 25x 2027/28 EPS. We are using 2027/28 as teh valuation base year as we believe the new business in optical connector as a new catalyst starting from next year. 25x PER is at the high end of its 5-year historical range as we believe the high growth optical opportunity in AI arena will lead better growth and re-rating. Genius used to trade based on smartphone product cycle and the growth has been stagnant. With the new optical connector, it should be resuming strong growth.

Risks

Key downside risks that could mean the stock fails to achieve our target price include: lower-than-expected smartphone sell-through; lower iPhone share allocation; slower-than-expected spec migration for the lens industry; and slower than expected prorgess in new optical business.

Largan Precision

Company description

Largan is a plastic/glass/hybrid lens supplier in Taiwan with end-applications including phone cameras, DSCs, MFPs, and tablets. More than 80% of its revenue is driven by phone camera lenses.

Investment strategy

We rate Largan a Buy as we expect its core iPhone business to remain resilient and its co-packaged optics (CPO) development to provide strong upside potential in the longer term. We believe Largan could be a long-term winner in the lens market driven by: 1) its technology leadership; 2) intellectual property (IP) protection; and 3) higher yield vs. competitors. In the longer term, we believe spec migration could keep Largan ahead of competitors.

Valuation

Our target price of NT$8,500 for Largan shares is based on 30x 2027/28E EPS. We are using 2027/28E EPS average as we see new Fiber Array + PMLA revenue to kick in from next year. Our 30x PER is higher than its historical 5-

year PER range, which we think is justified by its better order visibility proven by its recent strong capacity expansion plan, and we expect its CPO business engagement should provide a strong long-term growth opportunity.

Risks

Key downside risks include: 1) weaker smartphone demand or replacement demand, and in particular, demand headwinds for certain key clients; 2) longer learning curve and slower ramp of the yield rate; 3) slower spec migration; and 4) slower development in CPO business. Any of these risk factors could cause the shares to deviate from our target price.